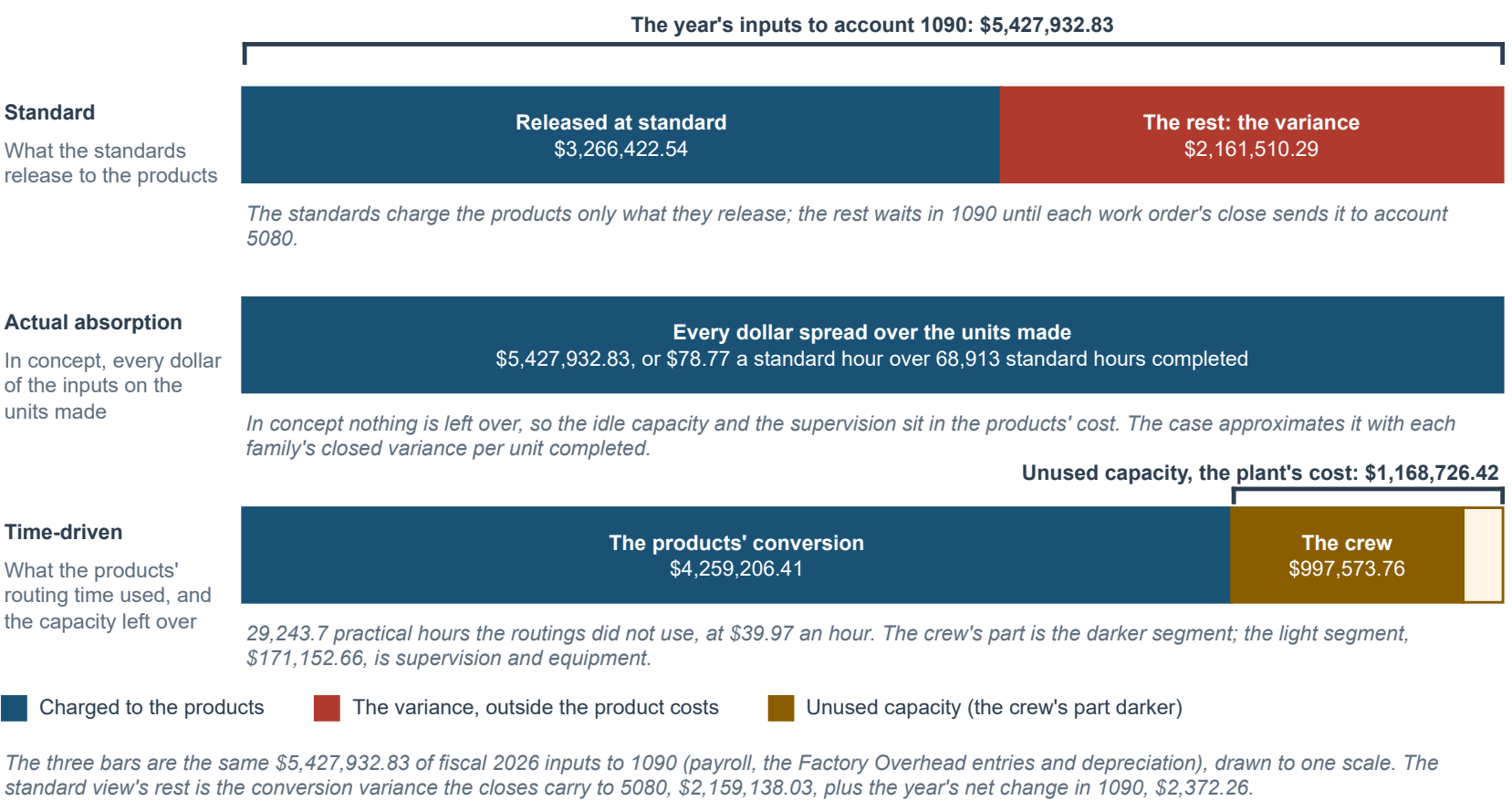

The year's inputs to account 1090: $5,427,932.83
Standard
What the standards release to the products
Released at standard
$3,266,422.54
The rest: the variance
$2,161,510.29
The standards charge the products only what they release; the rest waits in 1090 until each work order's close sends it to account 5080.
Actual absorption
In concept, every dollar of the inputs on the units made
Every dollar spread over the units made
$5,427,932.83, or $78.77 a standard hour over 68,913 standard hours completed
In concept nothing is left over, so the idle capacity and the supervision sit in the products' cost. The case approximates it with each family's closed variance per unit completed.
Unused capacity, the plant's cost: $1,168,726.42
Time-driven
What the products' routing time used, and the capacity left over
The products' conversion
$4,259,206.41
The crew
$997,573.76
29,243.7 practical hours the routings did not use, at $39.97 an hour. The crew's part is the darker segment; the light segment, $171,152.66, is supervision and equipment.
Charged to the products
The variance, outside the product costs
Unused capacity (the crew's part darker)
The three bars are the same $5,427,932.83 of fiscal 2026 inputs to 1090 (payroll, the Factory Overhead entries and depreciation), drawn to one scale. The standard view's rest is the conversion variance the closes carry to 5080, $2,159,138.03, plus the year's net change in 1090, $2,372.26.